NED UNIVERSITY OF ENGINEERING & TECHNOLOGY

SECOND YEAR (Computer Science)

SPRING SEMESTER EXAMINATIONS 2024

Time : 3 Hours | Batch 2022 | Dated : 20-JUL-24

Max Marks : 60

Sir Muhammad Asif

Financial & Cost Accounting - EC-209

Question 1 **CLO 1 [15]**

	$
1 January 20X7, Stock of raw materials	8,000
31 December 20X7, Stock of raw materials	10,500
1 January 20X7, Work in progress	3,500
31 December 20X7, Work in progress	4,200
Year to 31 December 20X7:	
Wages: Direct	39,600
Indirect	25,500
Purchase of raw materials	87,000
Fuel and power	9,900
Direct expenses	1,400
Lubricants	3,000
Carriage inwards on raw materials	2,000
Rent of factory	7,200
Depreciation of factory plant and machinery	4,200
Internal transport expenses	1,800
Insurance of factory buildings and plant	1,500
General factory expenses	3,300

Required:

Prepare manufacturing statement

Question 2 **Standard Costing & Variance** **CLO 2 [15]**

a) Standard Costing & Variance

	Standard	Actual
Direct Material	10,000 unit @$4/-	9,800 unit @$3.5/-
Direct Labour	5,000 unit @$6/-	6,000 unit @$6.5/-
Factory Over Head	50% of direct Labour	$13,500

Required: i) Material Price & Quantity Variance

ii) Labour Rate & Efficiency Variance

iii) Overhead Variance

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b) Standard Costing & Variance	$	
Material Price variance	3,000	Favorable
Material Quantity variance	1,800	unfavorable
Labour Rate variance	540	unfavorable
Labour Efficiency variance	1080	unfavorable
Standard Material Cost	13,200	
Actual Labour Cost	7,020	
Required:		
i) Actual Material Cost		
ii) Standard Labour Cost		

Question 3 **Inventory valuation** **CLO 1 [15]**

	Inventory Valuation FIFO, LIFO, Average		
2023		Unit	$ @ Per Unit
1-Oct	Beg. Balance	50	5
4-Oct	Purchase	30	6
12-Oct	Sales	35	20
15-Oct	Purchase	40	7
27-Oct	Sales	30	25

Required: Compute the **cost of inventory** and **gross profit** on October 31-2023

i **FIFO use Perpetual Method**

ii **LIFO use Periodical Method**

Question 4 a) What is meant by the term *equivalent units of production?* **CLO 2 [15]**

b) What is process costing? Assume you have three processing units (A, B, & C). ***Draw the flow chart*** of processing costs.

c) What is the main difference between management accounting and financial accounting?

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Question # 1

CLO#3 Marks:15

a. Factory over is 30% of the cost of goods manufactured. Direct labour is 20% of sales or 40% of goods manufactured. The ending raw material is Rs. 8,000 more than the beginning of raw material. Sales Rs. 200,000 for the year

Required:
Calculate the cost of raw materials purchased

b. ABC Co. Ltd. Provides the following incomplete information at the end of its accounting year:

Sales for the year	Rs. 540,000
Cost of goods sold for the year	Rs. 324,000
Materials purchased during the year	?
Direct Labour	Rs. 115,200
Cost of goods available for sale	Rs. 465,000
Income tax for the year	Rs. 12,000

	Beginning	Ending
Materials	63,000	67,500
Work in process	75,600	104,400
Finished goods	?	?

Direct materials used during the year are equal to 70% of the cost of goods sold. Factory overhead is 2/3rd of direct labour cost. Selling expenses are 7.5% of sales and administrative expenses are 2.5% of sales.

Required:
Prepare an income statement from the incomplete information given above.

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Question # 2

CLO#2 Marks:15

Beginning WIP inventory is 150 units (60% complete as to conversion costs). Beginning WIP inventory material costs are $250 and conversion costs are $500. All material for the product is added at the beginning of the production process. Conversion takes place continuously throughout the process. During the period 550 units were started. Material costs for the period are $800 and conversion costs for the period are $6,000. Ending WIP is 80 units at 20% completion as to conversion costs.

Required:

Calculate the amounts to be in ending units and goods transferred out using the

- FIFO method
- Weighted Average method.

Question # 3

CLO#2 Marks:15

The University of Chicago Press is wholly owned by the university. It performs the bulk of its work for other university departments, which pay as though the press were an outside business enterprise. The press also publishes and maintains a stock of books for general sale. The press uses normal costing to cost each job. Its job-costing system has two direct-cost categories (direct materials and direct manufacturing labor) and one indirect-cost pool (manufacturing overhead, allocated on the basis of direct manufacturing labor costs). The following data (in thousands) pertain to 2011:

• Direct materials and supplies purchased on credit	$ 800
• Direct materials used	710
• Indirect materials issued to various production departments	100
• Direct manufacturing labor	1,300
• Indirect manufacturing labor incurred by various production departments	900
• Depreciation on building and manufacturing equipment	400
• Miscellaneous manufacturing overhead	550
• Manufacturing overhead allocated at 160% of direct manufacturing labor costs	?
• Cost of goods manufactured	4,120
• Revenues	8,000
• Cost of goods sold (before adjustment for under / over applied)	4,020
• Inventories, December 31, 2010 (not 2011): = Beg	
o Materials	100
o Work-in-Process	60
o Finished Goods	500

Required:

Prepare journal entries

Question#4:

CLO#1 Marks:15

Differentiate between:

- Cost Accounting and financial Accounting
- Job order costing and process Costing
- Period cost and product cost
- Finished goods and work in process
- FOH – Applied and FOH - Incurred

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Sir Naeem

SEAT NO. CT - 21005

NED UNIVERSITY OF ENGINEERING & TECHNOLOGY
SECOND YEAR(BACHELOR OF SCIENCE IN COMPUTER SCIENCE AND INFORMATION TECHNOLOGY
SPRING SEMESTER EXAMINATIONS 2023
Batch 2021

Time : 3 Hours

Dated : 01-AUG-23
Max Marks : 60

Financial & Cost Accounting - EC-209

Note: Attempt all questions in sequence.

Question:01 (CLO 2) Marks 15

Transactions for Joan Jett Company for the month of October are presented below. You may omit journal explanations.

1. Invested $42,000 cash in the business.
2. Purchased land costing $28,000 for cash.
3. Purchased equipment costing $18,000 for $4,000 cash and the remainder on credit.
4. Purchased supplies on account for $800.
5. Paid $1,200 for a one-year insurance policy.
6. Received $3,500 cash for services performed.
7. Received $4,000 for services previously performed on account.
8. Paid wages to employees for $2,800.
9. Owner withdrew $2,300 cash from the business.

Instructions

Identify the above transactions and then prepare General Journal, Ledger and Trial Balance for Joan Jett Company for the month of October.

Question:02 (CLO3) Marks 10

The adjusted trial balance of Bon Jovi Music Company appears below.

BON JOVI MUSIC COMPANY
Adjusted Trial Balance
For the Month Ended April 30, 2020

	Debit	Credit
Cash	12,000	
Inventory	19,000	
Supplies	3,500	
Equipment	90,000	
Accum. Depreciation—Equipment		16,500
Accounts Payable		24,000
Owner's Capital		92,000
Owner's Drawings	6,000	
Sales Revenue		44,000
Sales Returns and Allowances	2,500	
Cost of Goods Sold	23,000	
Advertising Expense	7,000	
Supplies Expense	6,000	
Depreciation Expense	1,000	

CT - 21005

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Rent Expense	2,500	
Utilities Expense	4,000	
	176,500	176,500

Instructions

Estimate Net Income by preparing Income Statement and also create Balance Sheet for Bon Jovi Music Company for the year ended 2020.

Question:03 **(CLO 2) Marks 15**

Glavine Corporation incurred the following costs while manufacturing its product.

Materials used in product	$ 125,000	Advertising expense	$45,000
Depreciation on plant	60,000	Property taxes on plant	19,000
Property taxes on store	7,500	Delivery expense	21,000
Labor costs of assembly-line workers	110,000	Sales commissions	35,000
Factory supplies used	23,000	Salaries paid to sales clerks	50,000

Work-in-process inventory was $27,000 at January 1 and $15,500 at December 31. Finished goods inventory was $65,000 at January 1 and $50,600 at December 31.

Instructions

Identify the Cost of Goods Manufactured Value by preparing Cost of Goods Manufactured Schedule. Identify the Gross Profit.

Question:04 **(CLO 2) Marks 10**

Talia Corp. produces digital cameras. For each camera produced, direct materials are $20, direct labor is $16, variable manufacturing overhead is $12, fixed manufacturing overhead is $28, variable selling and administrative expenses are $10, and fixed selling and administrative expenses are $24.Company is assuming a 40% markup on total per unit cost.

Instructions

Evaluate the target selling price.

Question:05 **(CLO 2) Marks 10**

Fort Corporation had the following transactions during its first month of operations:

1. Purchased raw materials on account, $85,000.
2. Raw Materials of $30,000 were requisitioned to the factory. An analysis of the materials requisition slips indicated that $6,000 was classified as indirect materials.
3. Factory labor costs incurred were $175,000 of which $145,000 pertained to factory wages payable and $30,000 pertained to employer payroll taxes payable.
4. Assignment of Cost in which Time tickets indicated that $145,000 was direct labor and $30,000 was indirect labor.
5. Overhead costs incurred on account were $198,000 which will be paid in future.

Instructions

Identify each transaction by preparing General Journal entries for Fort Corporation.

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NED UNIVERSITY OF ENGINEERING & TECHNOLOGY

SECOND YEAR(BACHELOR OF SCIENCE IN COMPUTER SCIENCE)
SPRING SEMESTER EXAMINATIONS 2022
BATCH 2020

Time: 3 Hours | **Dated:12-08-2022**
Max.Marks:60

Financial & Cost Accounting - CT-258

Q1 (10 Marks). Account balances for Cystal Auto Wash at September 30, 2009 are shown below. The figure for retained earnings is not given, but it can be determined when all the available information is assembled in the form of a balance sheet.

Account Payable	$ 14000	Land	68000
Accounts Receivable	800	Machinery and Equipment	65000
Buildings	52000	Notes Payaable (due in 30 days)	29000
Cash	9200	Salaries Payable	3000
Retained Earnings	? 149,400	Supplies	400

Required:

a. Prepare a balance sheet at September 30, 2009

Q2 (20 Marks)

(a) Prepare general journal entries, ledger accounts and trial balance for the following transactions of a business called Pose for Pics in 2016:

Aug. 1: Hashim Khan, the owner, invested Rs. 57,500 cash and Rs. 32,500 of photography equipment in the business.
04: Paid Rs. 3,000 cash for an insurance policy covering the next 24 months.
07: Services are performed and clients are billed for Rs. 10,000.
13: Purchased office supplies for Rs. 1,400. Cash paid Rs. 400 and remaining outstanding.
20: Received Rs. 2,000 cash in photography fees earned previously.
24: The client immediately pays Rs. 15,000 for services to be performed at a later date.
29: The business acquires photography equipment. The purchase price is Rs. 100,000, pays Rs. 25,000 cash and signs a note for the balance.

(b) Prepare general journal entries, ledger accounts and trial balance for the following
On ***March 2017,*** Farhan Rahim, starts wholesaling business. Following transactions as follows:
1. He started business with capital of Rs. 15,000 and Land worth Rs. 10,000.
8. Bought goods from Bilal and Friends Rs. 1,000 and by cash from XYZ Co. Rs 2,000.
13. Sold goods to Rehman & sons Rs. 1,500 and sale by cash Rs. 5,000.
17. Gave away charity of cash Rs. 50 and merchandising worth Rs. 30.
21. Paid Bilal and Friends cash Rs. 975; discount received Rs. 25.
28. Received cash from Rehman & Sons Rs. 1,450; allowed him discount of Rs. 50.

Q3 10 Marks

(i) Zahid Traders makes the following purchases and issues during the month of September

Inventory on	September	01 400 Units	@Rs 14
Purcahase	September	05 500 Units	@Rs 13.10
	September	09 200 Units	@Rs 12.40
	September	25 700 Units	@Rs 12.10
Sales	September	12 600 Units	
	September	27 500 Units	

Required:

a) Calculate the cost of ending inventory on September 30, and
b) Cost of Golds Sold, using perpetual inventory system under each of the following methods
   a. FIFO Method
   b. LIFO Method
   c. Moving Average Method

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(ii) The following information is to be used in costing inventory on October 31,

Inventory on	October 1	800 Units	@Rs 1.60
Purchase	October 5	200 Units	@Rs 1.70
Purchase	October 9	200 Units	@Rs 1.80
Purchase	October 25	300 Units	@Rs 1.90
Sales	October 16	400 Units	
Sales	October 27	500 Units	

Required:

The Cost of merchandise sold and the cost assigned to the October 31, Inventory by each of the following perpetual inventory costing methods:

a) Moving Average Method
b) FIFO Method
c) LIFO Method

Q4 (20 Marks)

i) The following is information concerning a product manufactured by Ames Brothers:

Sales Price Per Unit $70
Variable Cost Per Unit $43
Total Fixed Manufacturing and operating Costs (Per Month) $405,000

Determine the following

a. The unit contribution margin
b. The number of units that must be sold each month to break even.
c. The unit sales level that must be reached to earn an operating income of $270,000 per month.

ii) Malibu Corporation has monthly fixed costs of $63,000. It sells two products for which it has provided the following information:

	Sales Price	Contribution Margin
Product 1	$10	$6
Product 2	$10	$3

a. What total monthly sales revenue is required to break even if the relative sales mix is 40 percent for Product 1 and 60 percent for Product 2?

b. What total monthly sales revenue is required to earn a monthly operating income of $12,000 if the relative sales mix is 25 percent for Product 1 and 75 percent for Product 2?

iii) For each of the six independent situations below, compute the missing amounts.

a. Using contribution margin per unit:

	Sales	Variable Costs	Contribution Margin per Unit	Fixed Costs	Operating Income	Units Sold
(1)	$_____	$120,000	$20	$_____	$25,000	4,000
(2)	180,000	_____	___	45,000	30,000	5,000
(3)	600,000	_____	30	150,000	90,000	____

b. Using the contribution margin ratio:

	Sales	Variable Costs	Contribution Margin Ratio	Fixed Costs	Operating Income
(1)	$900,000	$720,000	__%	$_____	$95,000
(2)	600,000	_____	40%	_____	75,000
(3)	_____	_____	30%	90,000	60,000

iv) EasyWriter manufactures an erasable ballpoint pen, which sells for $1.75 per unit. Management recently finished analyzing the results of the company's operations for the current month. At a break-even point of 40,000 units, the company's total variable costs are $50,000 and its total fixed costs amount to $20,000.

a. Calculate the contribution margin per unit.
b. Calculate the company's margin of safety if monthly sales total 45,000 units.
c. Estimate the company's monthly operating loss if it sells only 38,000 units.
d. Compute the total cost per unit at a production level of (1) 40,000 pens per month and (2) 50,000 pens per month. Explain the reason for the change in unit costs.

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